QUARTERLY INVESTOR REPORT

Oakmont Villas | Sacramento, CA

Investment	Oakmont Villas
Quarter	1Q 2023
Report Date	October 19, 2024
Sponsor	Keel & Compass Properties
Occupancy	88.3%

Investment Overview

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 5.2% with an equity multiple of 1.18x over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Projected levered IRR is 8.7% with an equity multiple of 1.18x over the hold period.

Management Commentary

Resident turnover has averaged 9.7% annually with renewal retention above 89.9%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Collections for the period were 89.6% of billed charges, with bad debt of 6.8% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 33 additional team members. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 5.8% annually with renewal retention above 90.5%. Collections for the period were 94.9% of billed charges, with bad debt of 6.2% of gross potential income. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Investment Overview

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 9.5% with an equity multiple of 1.35x over the hold period. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Resident turnover has averaged 2.6% annually with renewal retention above 89.4%.

The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Resident turnover has averaged 10.6% annually with renewal retention above 95.8%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 3.9% on contributed capital.

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Investor Distributions

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 9.2% annually with renewal retention above 92.7%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 6.7% with an equity multiple of 1.25x over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Distributions to investors for the quarter were paid at an annualized rate of 6.9% on contributed capital.

Distributions to investors for the quarter were paid at an annualized rate of 5.2% on contributed capital. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 8.8% annually with renewal retention above 88.1%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Collections for the period were 92.0% of billed charges, with bad debt of 7.0% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 32 hours.

Service requests are tracked through a work-order system with an average completion time of 9 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members.

Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 7.6% on contributed capital. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 7.6% annually with renewal retention above 88.7%.

Resident turnover has averaged 13.4% annually with renewal retention above 96.0%. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 5 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 96.6% of billed charges, with bad debt of 4.6% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Resident turnover has averaged 10.2% annually with renewal retention above 88.1%.

Service requests are tracked through a work-order system with an average completion time of 47 hours. Collections for the period were 94.5% of billed charges, with bad debt of 7.7% of gross potential income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Storefront glazing	Life Safety	03/13/23	Q2 2026	$126,000	$58,775	Bidding
Door hardware	Interior	01/16/26	Q3 2026	$70,000	$58,690	Bidding
Fire alarm panel upgrade	Building	07/10/23	Q4 2026	$386,000	$230,060	Approved
Signage / monument	Site	09/15/24	Q4 2027	$457,000	$254,640	Bidding
Lobby renovation	Energy	10/30/26	Q2 2027	$465,000	$140,175	Approved
ADA compliance	Interior	04/15/23	Q3 2025	$724,000	$745,885	In progress
ADA compliance	Energy	09/08/24	Q4 2027	$820,000	$130,635	In progress
Elevator modernization	Building	07/10/24	Q3 2026	$179,000	$127,150	Bidding
LED lighting retrofit	Interior	09/25/26	Q3 2025	$527,000	$235,505	Bidding
Lobby renovation	Energy	07/06/24	Q3 2027	$407,000	$420,290	In progress
HVAC replacement	Interior	01/27/26	Q3 2027	$336,000	$225,744	Bidding
ADA compliance	Energy	04/28/24	Q4 2026	$283,000	$52,790	Approved
Door hardware	Building	10/02/24	Q2 2025	$410,000	$155,914	In progress
Security camera upgrade	Interior	06/14/25	Q4 2026	$439,000	$247,947	Bidding
Pool resurfacing	Interior	06/17/25	Q4 2026	$198,000	$49,663	Complete
Fence replacement	Life Safety	05/24/23	Q4 2026	$231,000	$179,244	Approved
Door hardware	Energy	06/18/26	Q1 2027	$40,000	$25,049	Deferred
Amenity renovation	Life Safety	09/07/23	Q4 2026	$840,000	$147,482	Bidding
Security camera upgrade	Energy	02/14/24	Q1 2025	$36,000	$7,180	In progress
Exterior paint	Site	11/05/26	Q4 2025	$201,000	$88,591	Deferred
Signage / monument	Energy	07/19/25	Q2 2026	$469,000	$8,911	Bidding
ADA compliance	Building	05/30/24	Q1 2027	$69,000	$48,781	Approved
LED lighting retrofit	Interior	01/22/24	Q4 2025	$529,000	$195,370	Deferred
Water heater replacement	Energy	11/13/25	Q1 2026	$464,000	$313,955	In progress
Landscape / irrigation	Energy	02/10/25	Q2 2026	$674,000	$7,677	Complete
Sewer line repair	Life Safety	06/30/25	Q3 2027	$481,000	$471,925	Complete
Water heater replacement	Site	08/21/23	Q4 2026	$321,000	$90,549	Complete
Fire alarm panel upgrade	Interior	10/12/24	Q4 2026	$212,000	$184,825	Complete
Pool resurfacing	Energy	09/24/26	Q2 2027	$466,000	$398,724	Deferred
LED lighting retrofit	Building	09/22/25	Q2 2027	$428,000	$45,457	Approved
Sewer line repair	Building	10/19/25	Q2 2025	$32,000	$5,920	Bidding
Unit interior upgrades	Energy	11/13/26	Q2 2026	$233,000	$34,820	Bidding
Parking lot resurfacing	Interior	01/24/26	Q1 2025	$94,000	$31,472	In progress
HVAC replacement	Energy	05/17/25	Q2 2025	$736,000	$28,844	In progress
Storefront glazing	Energy	09/30/26	Q4 2026	$677,000	$243,360	Deferred
Water heater replacement	Building	03/02/24	Q4 2025	$230,000	$216,168	In progress
Amenity renovation	Site	09/18/25	Q2 2027	$817,000	$586,823	Deferred
Roof replacement - Bldg A	Energy	11/11/23	Q2 2026	$82,000	$74,440	In progress
LED lighting retrofit	Interior	08/14/24	Q3 2026	$712,000	$271,876	In progress
Storefront glazing	Energy	03/15/23	Q4 2026	$62,000	$42,212	In progress
Lobby renovation	Life Safety	09/28/23	Q3 2026	$107,000	$8,941	Deferred
Elevator modernization	Site	01/09/24	Q3 2025	$443,000	$123,701	Deferred

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Operating Performance

Debt service coverage ratio was 5.66x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Management fees are calculated at 7.7% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.11% reflects the in-place income and the stabilized occupancy assumption. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Effective gross income for the trailing period was $295,000, representing a 4.2% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Resident turnover has averaged 10.8% annually with renewal retention above 88.6%.

Demographics and Employment

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Rent growth in the submarket has averaged 3.1% annually over the past 4 years. Average in-place rent is $1,073 per month against an average unit size of 1,007 square feet. Market vacancy for comparable Multifamily product stands at 11.6%, down from 4.9% two years ago. Investor demand for Multifamily assets in Sacramento remains strong with recent trades at capitalization rates between 6.15% and 6.15%.

Rent growth in the submarket has averaged 3.0% annually over the past 6 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The Sacramento Multifamily market has experienced absorption of 300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Financial Analysis

Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. Resident turnover has averaged 9.2% annually with renewal retention above 88.6%. Operating expenses totaled $358,000 or approximately 45.60 per square foot, with real estate taxes representing the largest line item.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period. Operating expenses totaled $39,000 or approximately 22.80 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $139,000, representing a 13.2% increase over the prior year. Management fees are calculated at 6.2% of collected revenue and are included in operating expenses.

Demographics and Employment

The Sacramento Multifamily market has experienced absorption of 2100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Median household income within a 8-mile radius of the property is approximately $160,000 and has grown 13.4% annually. Employment growth is led by healthcare, logistics, education and professional services sectors.

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$26,105	$24,208	$25,192	-$913	-3.5%	$82.60
5010 Loss to Lease	$418,727	$447,650	$450,646	$31,919	7.6%	$1,477.53
5020 Vacancy Loss	$364,744	$336,524	$338,739	-$26,005	-7.1%	$1,110.62
5030 Concessions	$91,352	$84,348	$89,120	-$2,232	-2.4%	$292.20
5040 Bad Debt	$344,884	$342,326	$353,115	$8,230	2.4%	$1,157.75
5050 Late Fees	$127,544	$127,266	$133,626	$6,083	4.8%	$438.12
5060 Utility Reimbursements	$86,963	$93,622	$99,934	$12,971	14.9%	$327.65
5070 Parking Income	$209,712	$222,930	$226,691	$16,979	8.1%	$743.25
5080 Application Fees	$28,440	$27,492	$29,196	$756	2.7%	$95.72
5090 Pet Rent	$143,860	$153,696	$155,470	$11,610	8.1%	$509.74
5100 Laundry Income	$356,249	$359,895	$360,782	$4,533	1.3%	$1,182.89
5110 Cable/Internet Revenue	$52,386	$52,315	$55,923	$3,537	6.8%	$183.35
5120 CAM Reimbursements	$339,235	$343,946	$357,180	$17,945	5.3%	$1,171.08
5130 Tax Reimbursements	$76,337	$79,750	$81,765	$5,428	7.1%	$268.08
5140 Insurance Reimbursements	$120,526	$128,141	$130,437	$9,911	8.2%	$427.66
5150 Percentage Rent	$364,273	$382,363	$389,896	$25,623	7.0%	$1,278.35
5160 Misc. Income	$260,650	$250,465	$261,636	$986	0.4%	$857.82
5170 Payroll - Management	$169,388	$164,821	$165,224	-$4,164	-2.5%	$541.72
5180 Payroll - Leasing	$71,506	$69,361	$70,653	-$852	-1.2%	$231.65
5190 Payroll - Maintenance	$22,464	$20,909	$22,005	-$459	-2.0%	$72.15
5200 Payroll Taxes & Benefits	$304,506	$311,852	$319,838	$15,333	5.0%	$1,048.65
5210 Repairs - Plumbing	$341,869	$357,645	$369,526	$27,658	8.1%	$1,211.56
5220 Repairs - HVAC	$311,968	$317,040	$330,725	$18,756	6.0%	$1,084.34
5230 Repairs - Electrical	$179,741	$176,350	$179,544	-$197	-0.1%	$588.67
5240 Repairs - Appliances	$362,081	$344,922	$348,265	-$13,816	-3.8%	$1,141.85
5250 Painting & Decorating	$278,657	$299,701	$307,310	$28,653	10.3%	$1,007.57
5260 Flooring	$446,897	$419,903	$427,904	-$18,994	-4.3%	$1,402.96
5270 Make-Ready / Turnover	$92,867	$93,935	$97,044	$4,177	4.5%	$318.18
5280 Landscaping Contract	$68,076	$69,167	$72,695	$4,619	6.8%	$238.34
5290 Snow Removal	$295,706	$281,974	$285,661	-$10,046	-3.4%	$936.59
5300 Janitorial	$310,975	$291,706	$306,979	-$3,996	-1.3%	$1,006.49
5310 Pest Control	$37,881	$38,761	$39,996	$2,115	5.6%	$131.13
5320 Trash Removal	$393,379	$394,421	$421,729	$28,350	7.2%	$1,382.72
5330 Elevator Contract	$412,454	$392,874	$406,111	-$6,342	-1.5%	$1,331.51
5340 Fire & Life Safety	$367,907	$373,108	$395,770	$27,862	7.6%	$1,297.61
5350 Security	$33,846	$36,440	$37,393	$3,547	10.5%	$122.60
5360 Electricity - Common	$383,227	$398,355	$408,945	$25,718	6.7%	$1,340.80
5370 Gas - Common	$261,874	$248,333	$249,960	-$11,914	-4.5%	$819.54
5380 Water & Sewer	$78,879	$77,213	$81,246	$2,367	3.0%	$266.38
5390 Telephone/Internet	$440,555	$415,587	$444,111	$3,556	0.8%	$1,456.10
5400 Advertising	$335,308	$340,705	$348,179	$12,871	3.8%	$1,141.57
5410 Resident Events	$177,426	$182,258	$193,476	$16,051	9.0%	$634.35
5420 Office Supplies	$328,589	$342,201	$357,635	$29,046	8.8%	$1,172.57

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Disclaimer and Confidentiality

No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Time is of the essence with respect to each and every provision of this instrument. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Oakmont Villas and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CA. Time is of the essence with respect to each and every provision of this instrument. This document relates solely to Oakmont Villas and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Each party represents that it has full power and authority to enter into and perform its obligations hereunder. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. This document relates solely to Oakmont Villas and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CA. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Oakmont Villas and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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